

increasing the investment universe while keeping all else equal directly increases the risk of the overall strategy, we hope, along with the expected return. You could therefore decrease the number of instruments in the universe to decrease risk, but if you trade too small in a number of markets, your diversification effects will get too small. There is no easy way to trade diversified futures with smaller assets, but if you do attempt it, be sure to do your maths well so that you are aware of the risks involved.

■ Going Live

So the day has come for you to go live. All the testing has been done, you are comfortable with the strategy choices you have made, your accounts are opened, the structures are in place and clients' assets are on the accounts. Excellent, but now the hard part starts. A common question that is often not thought of until quite close to the go-live date is what exactly is to be done on day one. Should you immediately enter all positions that your backtest simulation currently has open or should you wait and just enter into new signals as they come along and slowly build up a portfolio?

For other types of strategies that answer might not be as clear but in this context there is only one correct choice. You absolutely need to enter into all positions on the first day or you will get a return curve that may look very different from what you expect. You need to calculate the position size for each open position in the simulation based on the day when the trade signal came in, not on the day when you go live, and then enter into the positions when your trading goes live. So if you go live on 2 January and your simulated strategy would have entered into a long soybean trade on 10 December the previous year, you need to calculate the theoretical size that you would have held if you had been trading on 10 December, using the volatility numbers from back then. The reason is, of course, that you want to make sure that your real results match your simulation.

If you don't enter into all positions right away, you will not get the same return curve as your simulations predict and you would simply be taking a gamble that the discretionary override, which is what the approach of only taking new signals would really constitute, will tip in your favour.

You may see situations that look scary on the first day and it may be difficult to enter into them: perhaps a long position that already has a much higher profit than the statistical average and just had two weeks of shooting up like a rocket. The problem is that if you don't buy it now, when will you